

Dependency Theory - metropole $\rightarrow$ satellites
- selective engage
w/ capitalism

Neoclassical & Washington Consensus
poor stay poor $\rightarrow$ focus: financ. mkt. efficiency
 $\rightarrow$ - distribution
- social protect

Endogenous Growth Theory & Thai 4.0

knowledge-intensive
in Eastern Corridor

Lewis's Dual Sector model $\rightarrow$ MP_L capital accumulate
drive productivity gain

MRP_L, w_k, w_T

commercialise pks.

Fai-Ranis $\rightarrow$ institutional wage raise faster
than Lewis's wage assumption

O-Ring Theory $\rightarrow$ chain of complementary task

Balanced $\rightarrow$ big-push; simultaneous investment
on capital, skill, administrative capacity
Unbalanced $\rightarrow$ forward - backward linkage

Vicious Circle Theory $\rightarrow$ poverty = self-perpetuate;
supply - demand - sides

Rostow's Stage of Econ. Growth +

- 1). traditional society
- 2). precond. for take off
- 3). take off
- 4). drive to mature
- 5). age of high mass consumption

Marx's Marxism → socialism ruling class

↕
oppressed class

classical theory ① → gov. restriction = best promote public interest
② → free trade → exploit comparative advantage

Pre-crisis

East Asian Miracle

- ① current account [domestic investment > saving]
[from foreign borrow]
- ② BOP & capital inflow from inter reserve

Crisis

Liberalise, BOP from emerging mkt.

- relax interest rate, reduce exchange rate, open account, allow comm. to borrow foreign currency at lower inter. interest rate to lend in \$ at higher rate, caused \$ external debt
- Aot is policy 'no bank failure' FIDF
→ \$ floated & crisis → 50 banks closed/merged

Speculative Attack

- Attempts
- 1st. BOT spend foreign to buy ₱ spot mkt.
 - 2nd. BOT raise domestic interest rate
[where bank sell $\rightarrow$]
 - 3rd. BOT buy ₱ in spot mkt. and sell
in forward mkt.
[₱ peg + 1% float / $\text{₱} \rightarrow \text{₱} / \text{\$}$]

NPL

- sure, have strategic NPL to default debt
to conserve cash

Post - Crisis

IMF intervene $\rightarrow$ secure rescue package from
Fund + structural adjustment
program

Contagion Effect $\rightarrow$ Indonesia, MY, SG, Korea
that have mostly same vulns.

External Factors

global trend, stagnation export,
China labor-intensive mkt export,
exhaustion labor cost advantage

Domestic Factors

land & building as collateral
'Crazy Capitalism'; personal connection
 $>$ creditworthiness

Trilemma : 1. fix exchange rate
2. free capital investment
3. ind. monetary policy

Poor regulate 1. asset fund by $\text{\$}$ liability
2. LT loan fund by ST
deposit
3. too much departments

Lesson learnt

- ① manage flexible exchange rate
 - ② regulate bank
 - ③ classify loan / capital
 - ④ debt insurance
 - ⑤ corporate governance
 - ⑥ manage ST external debt
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Monetary Policy

- interest-rate-only
- 3C: Capital flow, credit chases, currency crises
- goal: stable econ, firm c. sustain econ growth
- Action:
 - policy interest rate
 - supervise finance via macroprudential measure
 - manage exchange rate in coordinate context-sensitive

Macroprudential Policy // rule-based basis

- LTV, counter-cyclical capital buffer, dynamic provision, leverage cap, capital surcharge
 - 'sequential + mutually reinforce'
 - 1st macroprudential manage financial cycle
and policy rate manage price cycle
 - ER to flexible
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- agri's S.D 7X > non-agri.
demand shock

- land constraint, labor cost ↑, underfunded, manufacturer cost-intensive & labor-saving tech.
- cash cow status but face lower-cost entrant
- non-tariff barrier: n. hv R&D, test lab, food safety standard, value-added > raw-commodity

Inter. & Tur. Econ

- asymmetric export-import structure
- since Banking Treaty; Roma 4
- low domestic saving + investment $\rightarrow$ constrains to fund capital accumulation $\rightarrow$ fund FDI + portfolio flow
- $\rightarrow$ sensitive current account balances
- low labor productivity $\rightarrow$ manufacturer's $\uparrow$ wage
- limit domestic mkt. + AD $\rightarrow$ income distribution, aggregate population size
- democratic unstable $\rightarrow$ risk premium demand/
disrupt continuity of dev. plan

Theory - applications

- ① CA Ricardo - higher-value-added
knowledge-intensive, capital
- ② Slow Growth - domestic saving to finan. mkt
rate is steady-state capital stock and output level
- ③ Keynesian Multiplier
consider dynamism + not only welfare spending
- ④ Keynesian AD - purchasing power = effective demand
high-income = high MPS
low-income = high MPC
- ⑤ Endogenous Growth theory
dev. domestic capital mkt.